

FAIRLEASE AUDIT REPORT

User: Naveenavelumani5

Original File: leaseris.pdf

Fairness Score: 60%

Verdict: HIGH RISK

Detailed Analysis

Lease Agreement Audit Report (April 2026) This report summarizes the audit findings for the provided Residential Lease Agreement. ### Key Findings: * **Security Deposit:** The security deposit (Rs. 300,000) is equivalent to 12 months' rent, violating the Tamil Nadu Regulation of Leases and Eviction Act 2017, which limits the deposit to a maximum of three months' rent. This poses a **HIGH RISK**. * **Maintenance Responsibility:** The agreement places all maintenance responsibilities, including major structural repairs, on the lessee. This is unusual and potentially unfair, as landlords typically bear responsibility for structural maintenance. This clause needs revision. * **Damage Cost Discretion:** The Lessor has sole discretion in determining the cost of damages, creating a potential conflict of interest and lacking transparency. Neutral mechanisms for deciding the cost of damages are recommended. ### Recommendations: * Reduce the security deposit to comply with the Tamil Nadu Act 2017. * Re-allocate maintenance responsibilities to reflect a more balanced and standard agreement. The Lessor should be responsible for structural repairs. * Establish a transparent process for determining damage costs, potentially involving independent assessments. ### Conclusion: This lease agreement contains clauses that pose a significant legal and financial risk to the Lessee. It is strongly recommended to revise the agreement to ensure compliance with applicable laws and a fair allocation of responsibilities.